Market Structure

- **Types of market**
- On the basis of mode of competition market is of mainly two types.
- 1. Perfect market
- 2. Imperfect market

Classification of Imperfect Market

- 1. Monopoly
- 2. Duopoly
- 3. Oligopoly
- 4. Bilateral monopoly
- 5. Monopolistic competition
- 6. Monopsony
- 7. Duoposony
- 8. Oligopsony etc.

Characteristics of Perfect Market/Competition

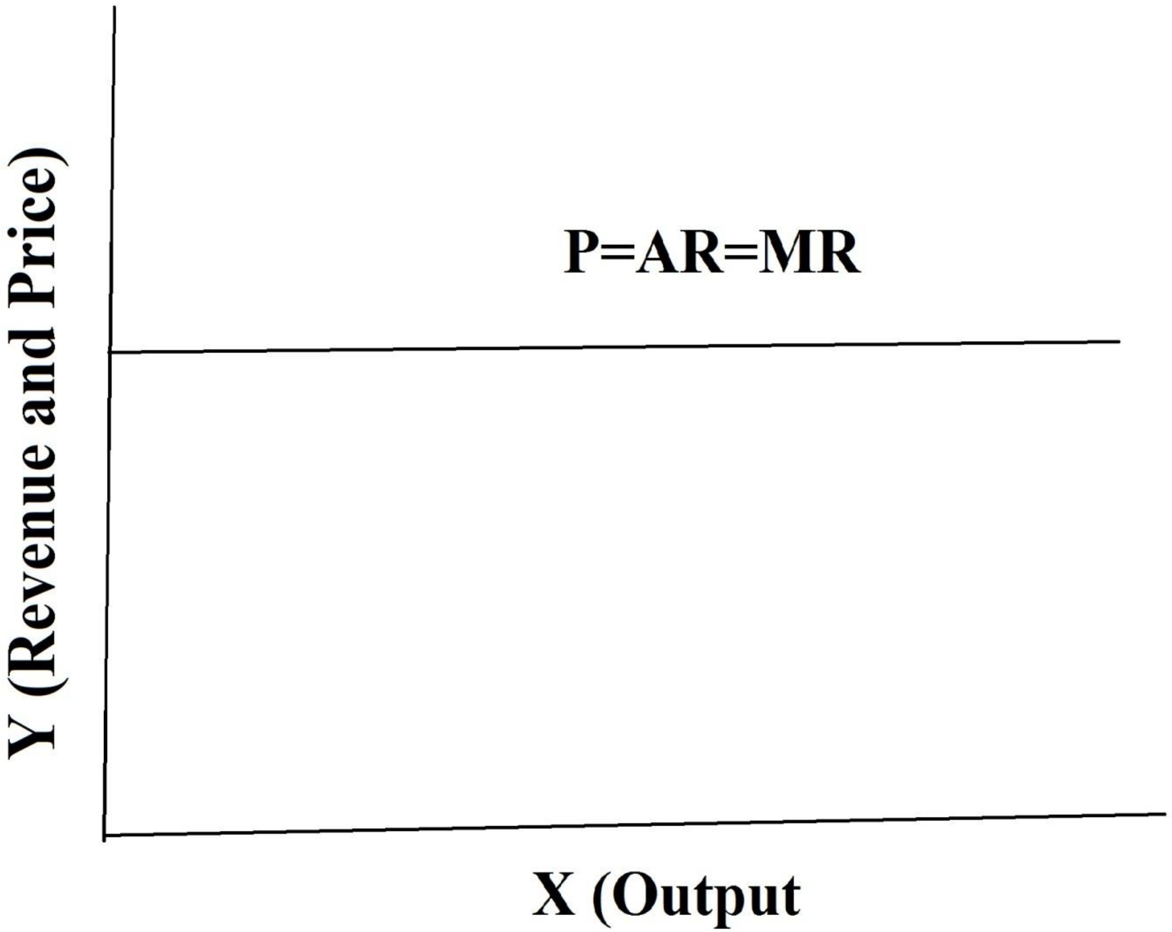
- 1. Large number of buyer and seller.
- 2. Commodities are homogenous.
- 3. Free entry and exit in and from the market.
- 4. No cartel among the seller.
- 5. Perfect knowledge of the goods to the customers.
- 6. Perfect mobility of inputs from one firm to another. Thus there will no existence of transaction of transportation cost.

- 7. Price is fixed through the interaction of demand and supply.
- 8. In this market P=AR (Average Revenue)= MR (Marginal Revenue)
- 9. Example: Rice market may be the example of perfect market.

Price, AR AND MR relation in Perfect Market

Price (Tk)	Demand (Kg)	Total Revenue (TR)	Average revenue (AR)	Marginal Revinue (MR)
10	5	50	10	10
10	4	40	10	10
10	3	30	10	10
10	2	20	10	10
10	1	10	10	10

- It is shown in the above table that
- In Perfect Market, P=AR=MR=Tk. 10
- The graphical view of P, AR and MR relationship under perfect marker is as follows


P=AR=MR
Y (Revenue and Price)
X (Output

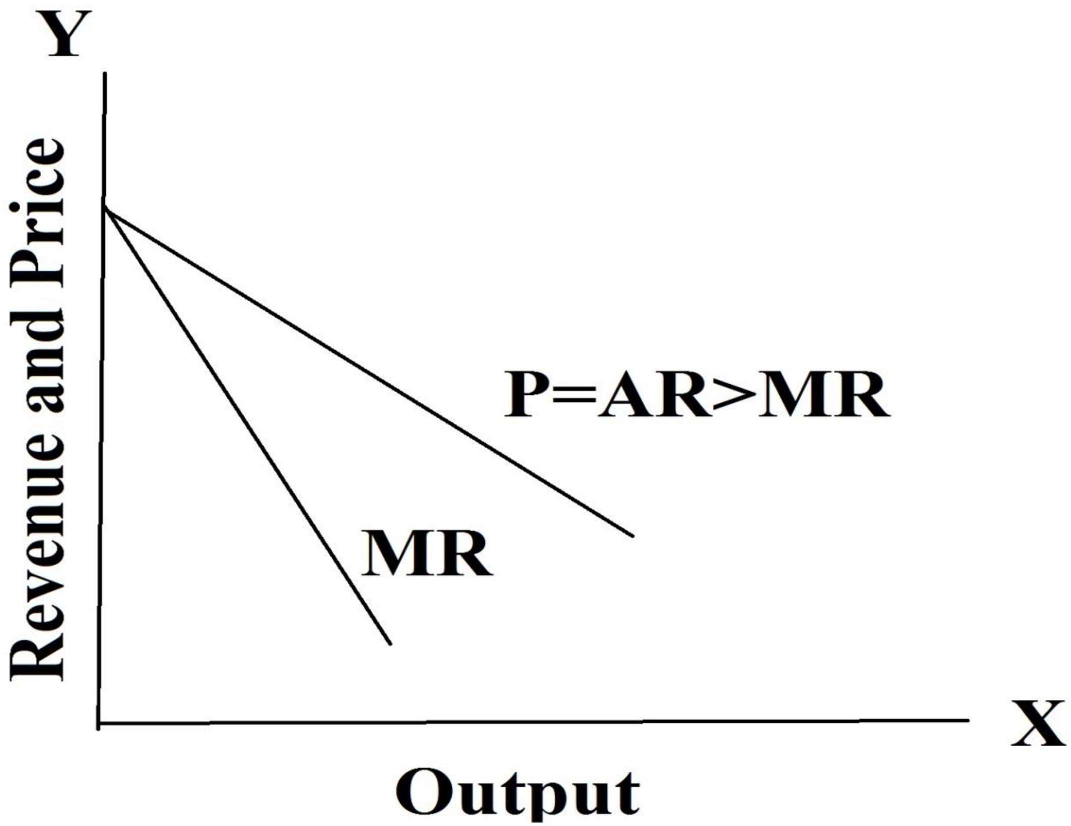
Imperfect Market

- **Characteristics of Monopoly**
- 1. Single seller and large buyer
- 2. Single commodity. No substitution will be there in the market.
- 3. No entry and exit of seller or producers.
- 4. A monopolist can either control price or quantity at a time. He can not control both price and sell at a time. If he wants to increase sale he is to fall the price. If he wants to raise the price, he is to contract the sale.

- 5. In Imperfect market, P=AR>MR

Price (Tk)	Demand (Kg)	Total Revenue (TR)	Average revenue (AR)	Marginal Revinue (MR)
1	5	5	1	-3
2	4	8	2	-1
3	3	9	3	1
4	2	8	4	3
5	1	5	5	-

- It is also seen from the above table that in Imperfect market, P=AR>MR. The graphical view P, AR and MR relationship under Imperfect market is as follows


Y
Revenue and Price
P=AR>MR
MR
X
Output

- 6. Example: Now a days rare in our country. Previously telephone, postal envelop, railway communication etc. were under monopoly market. Courier service is the substitute of postal communication. Private bus service has become the close substitute of railway service.

Characteristics of Monopolistic Competition

- It is the combination of perfect competition and monopoly.
- 1. Large number of seller but not large as under the perfect competition.
- 2. Commodities are almost homogenous but differentiated by means of packaging and labeling attached with it.
- 3. Restricted entry and exit of the supplier or producer.
- 4. High advertisement cost.
- 5. Example: Manufacturing production/goods like cosmetic items, tooth paste etc.

Characteristics of Oligopoly

- 1. Only a few sellers and large buyers. Every seller has important influence on price-output policies of his rivals.
- 2. Commodities may or may not be homogenous.
- 3. Restricted entry.
- 4. Cartel among the seller.
- 5. Example: OPEC (Organization of Petroleum Exporting Countries)

Duopoly

- A true duopoly (from Greek *duo* δύο (two) + *polein* πωλεῖν (to sell)) is a specific type of oligopoly
- where only two producers exist in one market.
- In reality, this definition is generally used where only two firms have dominant control over a market.

- In the field of industrial organization, it is the most commonly studied form of oligopoly due to its simplicity.

- **Examples:** Boeing and Airbus have been considered a duopoly for their command of the large passenger airplane manufacturing market.

- Similarly, Apple and Samsung dominate the iPhone market.

- While there are other companies in the business of producing passenger planes and iPhones, the market share is highly concentrated between the two businesses identified in the duopoly.

Oligopsony

- An oligopsony (from Ancient Greek ὀλίγοι (oligoi) "few" + ὀψωνία (opsōnia) "purchase") is a market form in which the number of buyers is small while the number of sellers in theory could be large.
- This typically happens in a market for inputs where numerous suppliers are competing to sell their product to a small number of (often large and powerful) buyers.
- It is the opposite of Oligopoly. It contrasts with an oligopoly, where there are many buyers but few sellers. An oligopsony is a form of imperfect competition

- Example: The fast-food industry is a good example of an oligopsony.

- A small number of large buyers including McDonald's, Burger King, and Wendy's buys a huge amount of the meat produced by American ranchers. That gives the industry the ability to dictate the price they are willing to pay.

Monopsony

- In economics, a monopsony (from Ancient Greek μόνος (*mónos*) "single" + ὀψωνία (*opsōnía*) "purchase") is a market form in which only one buyer faces many sellers.

- It is the opposite of Monopoly.
- In the microeconomic theory of imperfect competition, the monopsonist is assumed to be able to dictate terms to its suppliers, as the only purchaser of a good or service, much in the same manner that a monopolist is said to control the market for its buyers in a monopoly, in which only one seller faces many buyers.

- In addition to its use in microeconomic theory, monopsony and monopsonist are descriptive terms often used to describe a market where a single buyer substantially controls the market as the major purchaser of goods and services.

- Example: The military industry

Bilateral Monopoly

- A bilateral monopoly exists when a market has only one supplier and one buyer.
- The one supplier will tend to act as a monopoly power and look to charge high prices to the one buyer.
- The lone buyer will look towards paying a price that is as low as possible. Since both parties have conflicting goals, the two sides must negotiate based on the relative bargaining power of each, with a final price settling in between the two sides' points of maximum profit.
- Example: One example occurs when a labor union (a monopolist in the supply of labor) faces a single large employer in a factory town (a monopsonist).